

Article | 14 July 2026

UNITED STATES

Easing US price pressure dampen imminent Fed hike talk

US June consumer price inflation data undershot expectations with the breadth of the softening the particularly encouraging aspect. Fed rate hike pricing has receded, but we still think it is too high. We forecast a prolonged pause from the Federal Reserve



US CPI for June was lower than expected and led by falling gasoline prices

2.6%

Annual rate of core inflation

Lower than expected

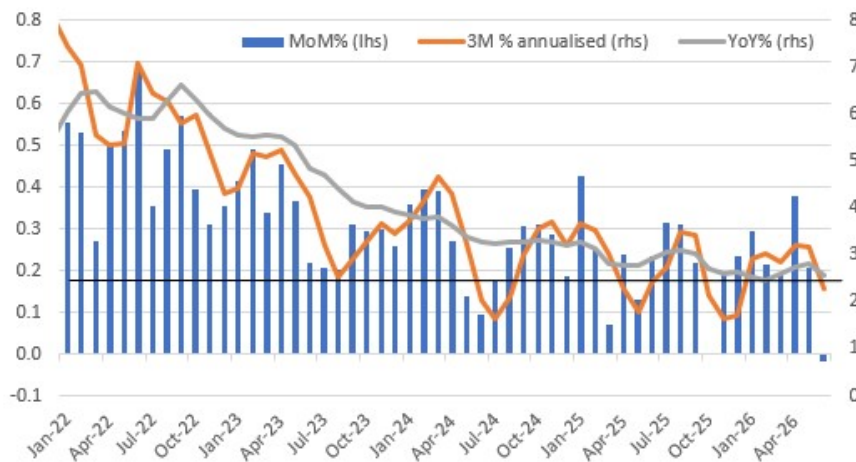
US inflation lower than anyone expected

Today's consumer price inflation report for June was considerably softer than expected. US headline prices fell -0.4% month-on-month versus consensus expectations of a -0.1% outcome, while core inflation (ex-food and energy) was flat on the month versus expectations of a 0.2% increase. To three decimal places, it was a negative print of -0.017% MoM. As a

result, the annual headline inflation rate slows to 3.5% year-on-year from 4.2% while core inflation slows to 2.6% from 2.9%.

The details show gasoline prices fell 9.7% MoM, but there were also falls in education & communication of -0.8% MoM, used cars (-0.2%), apparel (-0.6%), medical care fell 0.1% while shelter, the largest component within CPI, rose just 0.1%. New vehicle prices were flat on the month while other goods and services rose just 0.1%. The only real source of strength was recreation (+0.5%), which may reflect the World Cup to a certain extent. The encouraging aspect of this report is the breadth of the softness – it wasn't steep falls in one or two components that offset robust price increases elsewhere. The chart below shows core inflation metrics with the black line representing 0.17% MoM, which is the run rate required to bring core inflation down to 2% YoY.

US core inflation metrics (MoM%, 3M annualised and YoY%)



Source: Macrobond, ING

Kevin Warsh testimony says all the right things

Federal Reserve interest rate hike expectations had been building in recent days, reflecting the re-escalation of the Middle East conflict, the stalling of shipping through the Strait of Hormuz and the move higher in oil and natural gas prices. However, today's relatively benign inflation outcome, showing broad-based softening in price pressures, is resulting in a steep reversal with the 10Y yield down 6bp and 2Y treasury yield down 10bp on the back of the headlines. Yesterday, a July rate hike was seen as a coin toss, but right now less than 4bp of a potential 25bp hike is priced. 50bp of hikes had been expected by March next year as of today's open, but that has since dropped back to 44bp by April.

At the same time, we have had the release of the text to Fed Chair Kevin Warsh's semi-annual monetary policy testimony to Congress, set for 10:00am. It largely echoes his June FOMC press conference. The headlines say all the right things about being vigilant and being prepared to

take action to ensure inflation returns to target – making sure “the inflation surge of the last five years will be a thing of the past”. The headline news outlets are focusing on is that he and the FOMC have “no tolerance” for persistently high inflation, which really shouldn't be any new ‘news’ seeing as the primary role for the Fed is maintaining price stability. As we expected, there is very little there that can be described as ‘forward guidance’ given his disdain for it. Comments in the Q&A about today's CPI print will be the focus – he will surely welcome it, but will likely insist that a series of cool prints will be required.

Four reasons for inflation to slow into 2027

The deterioration in the Middle East situation has led shipping transits through the Strait of Hormuz to collapse after their recent revival and this is putting upward pressure on oil and natural gas prices. Nonetheless, WTI oil at \$80/bbl remains historically consistent with retail gasoline prices of around \$3.75/gallon, below the current level of \$3.85. Should talks resume, and a deal is done, we should see oil and gasoline prices head lower once more.

A second reason, and more important reason, for us to expect inflation to continue slowing is housing. As Fed Chair Kevin Warsh said at the June FOMC press conference, monetary policy doesn't appear restrictive when considering the robustness of financial markets, but it does in light of the housing market. That is hugely important, given that the component with the heaviest weighting in the CPI is shelter, at 35%. Shelter inflation is currently running at 3.3% year-on-year. With home prices barely rising 1% and rents now falling outright in a growing number of states, according to data from Zillow and Realtor.com, we expect this dominant housing component to exert steady downward pressure on overall inflation over the next 12 months.

Thirdly, there are undoubtedly issues around semiconductor prices, but the biggest cost input for US corporates is not tech, tariffs or energy. It's the cost of workers. We've gone from a situation where, in 2022, there were two job vacancies for every unemployed American to being in balance today. This has taken a huge amount of froth out of wages. Moreover, the plunge in the quits rate – a measure of labour market churn – means companies are no longer having to pay up to retain staff. Wage inflation of 3% is fully consistent with 2% consumer price inflation.

Then, rounding out the story, we have tariffs. They represent a one-off step change in prices. Now that we've arguably entered a less onerous tariff regime that includes lots of exemptions, we're increasingly confident that their upward influence on inflation will rapidly fade. The Dallas Fed believes tariffs are contributing around 0.9pp to the annual rate of core PCE deflator. As this drops to zero, core inflation should quickly descend. Moreover, Federal budget balance data showed the IEEPA 'Liberation Day' tariffs, that were struck down by the Supreme Court, are now being repaid to corporate America. In May the section 301 tariffs (the new regime) were fully offset by the initial repayments of the IEEPA tariffs. In yesterday's June data, the Treasury actually paid out \$25.5bn more in IEEPA refunds than it received under all other

tariffs. With perhaps another \$80bn of refunds still to be made, this boost to corporate cash flow should also be helpful in limiting consumer price increases.

A prolonged pause to next summer is our call

We recognise that the Fed has missed its inflation target for the past five years, and Kevin Warsh wants to put an end to this trend. Nonetheless, consumer inflation expectations are within tolerable ranges, suggesting little risk of second-round price effects from the energy spike. Meanwhile, market inflation expectations have plunged, with 10Y break-even inflation rates in line with their 25-year average, while those for 2Y inflation have dropped below 2%. To us, the more likely course of action is for the Fed to hold rates steady for a prolonged period, perhaps until the summer of next year.

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Article | 10 July 2026

European consumers still aren't consuming, but the way they save is changing

Eurozone households continue to act as a brake on economic growth. But a gradual shift from bank deposits towards investment products may be laying the foundations for stronger consumption and domestic demand in the years ahead



Eurozone households continue to save heavily, although more of those savings are now flowing into investments rather than bank deposits.

The issue: Savings inches down, but still well above historical levels

Europe still has a consumer problem. While household spending has picked up modestly in recent quarters, Europeans continue to save a much larger share of their income than before the pandemic, limiting an important driver of economic growth.

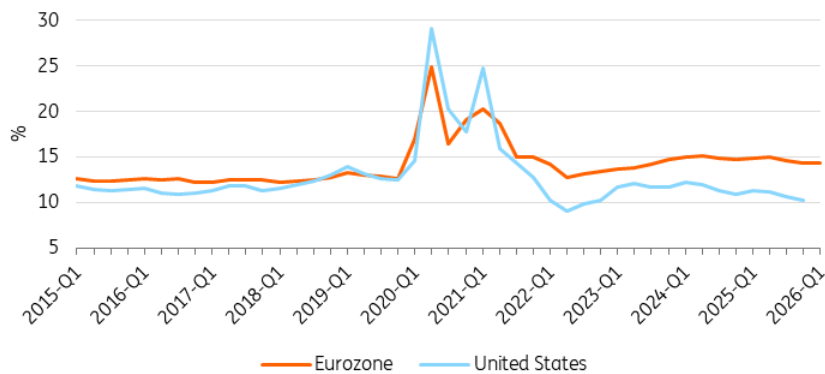
For every €100 of disposable income, Europeans spent €85.74 euros on goods and services in the first quarter of 2026, up only marginally from €85.70 in the fourth quarter of 2025. The increase was somewhat stronger compared with the previous two years. From the end of 2023 until mid-2025, the share of income spent on goods and services hovered around €85.

Yet the current 14.26% gross savings ratio (the share of disposable income not spent on goods and services) remains well above pre-Covid levels. During the five years before the pandemic, this ratio was stable at 12.5%, meaning households spent around €87.50 out of every €100 of income on goods and services.

In the US, by contrast, the gross savings ratio stands at 10.2% (4Q2025) and has come down from pre-Covid levels (graph 1). Household consumption continues to provide relatively strong support to the US economy amid solid demand for goods and services. European households remain more cautious, with higher savings acting as a drag on consumption.

Eurozone household savings ratio continues to remain above pre-pandemic levels

Gross household savings rate



Source: Eurostat, OECD National Accounts. Last datapoint for the US is 4Q2025.

The effect: A lack of household spending slows economy

Lower household consumption is weighing on growth*, both relative to historical levels and even more so relative to the US. For years, a gradual normalisation of the savings ratio towards pre-Covid levels was seen as a potential source of support for European growth. So far, there has been little meaningful progress.

In Europe, household spending typically accounts for just over 50% of GDP. If the savings ratio were to fall from first quarter levels to 12.5%, this would imply additional demand for goods and services equivalent to about one percent of GDP. A decline to a level similar to that seen in the US would imply additional demand worth around 2% of GDP.

**If lower household consumption (higher savings) translates into significantly higher household capital formation (higher new residential investment and renovations), it offsets the drain on domestic demand. However, with the [exception of 2021](#) this has not happened. In fact, since 2023, housing investment has declined, further weighing on domestic demand.*

The surprising driver: older households fearing the erosion of their wealth

In [December](#), we looked at the drivers of this change since Covid. We found a striking increase in the share of people who say 'now is a good time to save' relative to 2019. At first glance, this seems counterintuitive. After all, the past four years have been characterised by high inflation, and conventional economic [thinking](#) suggests rising prices lower real interest rates, boost consumption and reduce incentives to save. However, recent research by the [Bank of England](#) suggests that reduced inflation uncertainty, which is strongly correlated with lower expected inflation, leads to higher planned spending and lower monthly saving.

We share a similar view, but emphasise the role of wealth. We've found that the real value of household wealth in Europe fell sharply between 2021 and 2023 as inflation peaked. A similar pattern emerged in the US. But the impact was partly mitigated by higher equity valuations, allowing financial wealth to recover more quickly despite a lower savings ratio.

We also found that the increase in the share of people saying 'now is a good time to save' compared with 2019 was especially pronounced among those aged over 50. This age group has accumulated the most wealth, making them more exposed to the erosion of purchasing power caused by inflation. At the same time, older people tend to have significantly higher inflation expectations than younger people ([chart 6, by age](#)). Households that feel their wealth has been eroded and expect (often much) more to come may attempt to rebuild financial buffers by postponing consumption. As such, we continue to see the erosion of wealth as a plausible explanation for higher savings ratios. Let's see what's changed since then.

The opposing forces: Younger generations savings intentions peak

Since the outbreak of the war in Iran, inflation expectations have risen across all age groups. The increase is strongest among older age groups ([graph 6, by age group](#)). Nevertheless, older age groups seem slightly less inclined to save than before (graph below). This may reflect some individuals expecting to start drawing on existing savings as a buffer, using them to absorb unexpected financial setbacks as fears of higher inflation materialise.

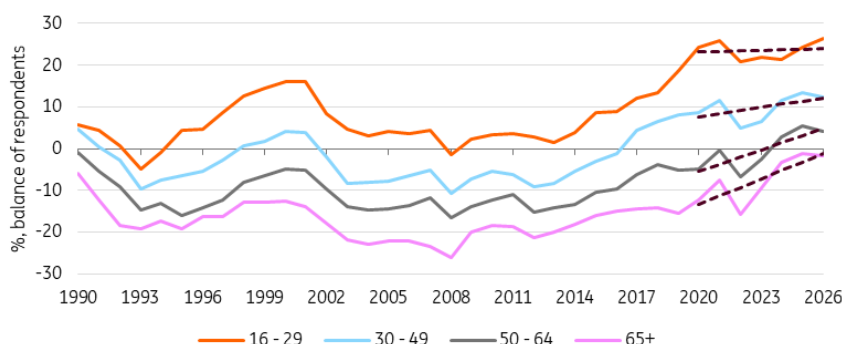
Younger people, on the other hand, are more likely to say that now is a good time to save. We see this as a more traditional response to higher uncertainty, with younger households building up cash reserves for precautionary reasons. In absolute terms, the share of young people saying that now is a good time to save is at its highest level in the past 36 years. However, compared with pre-Covid levels, the increase is still less pronounced than among older age groups.

The data suggest the slight first-quarter dip in the savings ratio reflects two opposing forces: older households appear to be drawing down part of their reserves, while younger households

are stepping up precautionary saving – leaving the aggregate ratio only marginally lower.

There's never been a better time to save

Yearly average of the difference between the percentages of respondents who gave positive and negative replies to the question: 'Over the next 12 months, how likely is it that you will save any money?'



Source: European Commission, ING Research. Data for 2026 is the average from Jan-Jun 2026.

The coming quarters: first down, then up

In the second quarter, the savings ratio likely slipped further as households tapped their financial buffers to offset the surge in fuel costs – a drag strong enough to outweigh any incremental rise in precautionary saving. Looking ahead, with fuel prices easing off their peaks but geopolitical and labour-market uncertainty still high, precautionary saving is likely to re-emerge as the dominant force.

Mortgage dynamics will reinforce this shift. With mortgage rates up roughly 20 basis points in countries like Germany, Italy, Spain and the Netherlands – and uncertainty rising – demand for new mortgages is set to cool over the coming quarters, while repayments are likely to pick up.

Until May, mortgage-debt growth [held steady](#), reflecting the usual lag before shifts in borrowing behaviour show up in the data. A similar pattern was seen in 2022, when the impact of higher interest rates materialised with a delay. However, we don't expect an adjustment of similar magnitude; the increase in mortgage rates has been much smaller. Even so, we do expect to see slower growth in the mortgage debt stock over the next couple of months. Slower mortgage borrowing reduces the amount of new credit flowing into the economy, dampening housing-related spending and limiting consumption growth. At the same time, faster mortgage repayments leave less room for consumption, leading to higher saving ratios.

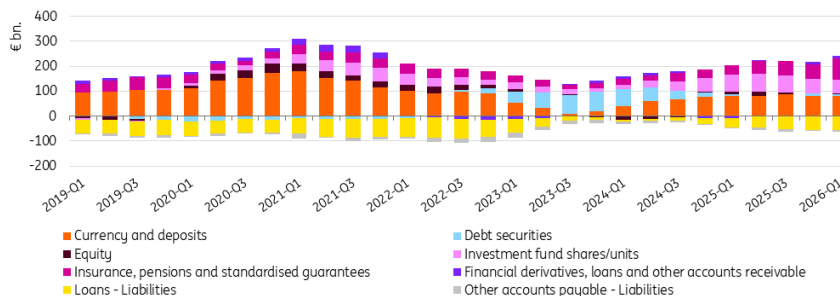
All in all, we see only limited upside for consumption in the third quarter. Any lift from easing inflation is likely to be muted once again by a rising savings ratio.

What's new: Fewer deposits, more investments

Following the Covid pandemic, eurozone households initially channelled large amounts into bank deposits and debt securities. Since 2024, however, financial transaction data shows an increasing share is going into investment funds (including ETFs), as well as insurance, pensions and standardised guarantees. Over the past two years, net inflows into these assets have consistently outpaced those going into bank deposits.

Investment funds are gaining ground in financial portfolios of households

Quarterly financial transactions of households and NPISHs, 4q moving averages



Source: Eurostat, ING Research

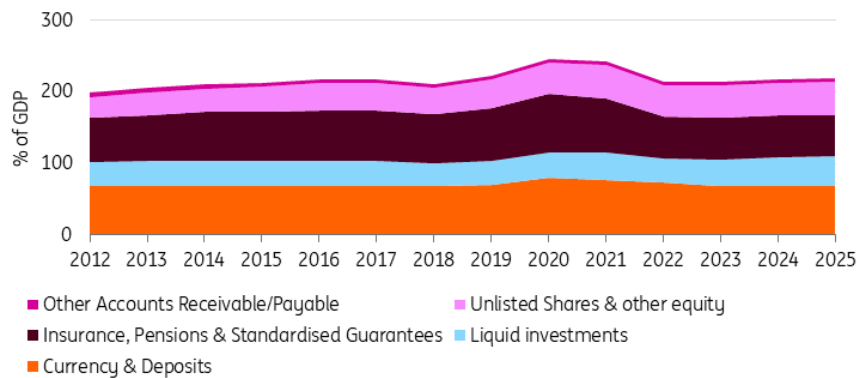
The longer-term implication: positive for growth

Household balance sheets show that as more savings have shifted into investment funds, pensions and other market-linked products – and as asset prices have risen, the share of liquid financial investments in total wealth has increased (graph 4).

Between 2022 and 2025, liquid investments rose by the equivalent of 9% of GDP. Other forms of financial wealth remained roughly constant relative to GDP, whereas currency and deposits declined by almost 5% over the same period. The combined effect of asset price increases and households adding more money to various forms of wealth helped lift the wealth-to-GDP ratio. The gains remain far smaller than in the US, where stronger equity markets – and a much larger share of household wealth in equities and mutual funds – have driven wealth higher far more quickly, even though Americans added relatively less from new savings.

Households are holding more of their wealth in liquid investments

Eurozone household assets



Source: Eurostat, ING Research

Looking further ahead, if Europeans continue to allocate more of their savings to investment products, the need for precautionary buffers could gradually fade. As returns build wealth and offer stronger protection against inflation, households may feel less pressure to set aside such a large share of income to reach their desired level of financial security.

If that shift takes hold, domestic demand could get a lasting boost. Moves like Germany's [pension reforms](#) and the European Savings and Investment Union push in the same direction by encouraging households to hold a larger share of their wealth in investment products. We're not there yet, however.

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Article | 7 July 2026

FX RATES FRANCE

France's Marine Le Pen back in the presidential race as fiscal challenges loom large

Marine Le Pen can now run for president in 2027, setting the stage for a highly uncertain campaign against the backdrop of France's worsening fiscal outlook



RN parliamentary party leader Marine Le Pen leaves the Paris courthouse after hearing of the verdict in her appeal trial

Le Pen can run for president

Marine Le Pen was convicted in March 2025 in a case concerning the misuse of European Parliament assistants by the former Front National. She was sentenced to four years in prison, including two years suspended, fined EUR 100,000, and barred from holding public office for five years with immediate effect. This ruling has now been reviewed on appeal.

The appeal court upheld her conviction today, but modified the sentence. She has been sentenced to three years in prison, including two years suspended, meaning that she will serve one year under electronic monitoring. She has also been banned from holding public office for 45 months, of which 30 months are suspended. As the period of ineligibility began in March 2025, the first 15 months have elapsed. As a result, she is now officially eligible to run in the

2027 presidential election.

On Tuesday evening, she officially announced that she would be the Rassemblement National (RN) candidate in the presidential election and that Jordan Bardella would serve as her Prime Minister if she won. She believes that she will not have to wear an electronic monitoring bracelet because she has decided to appeal to the Court of Cassation, at the risk that the decision might once again prove to be more serious than the one announced today. The Court of Cassation should deliver its ruling at the beginning of 2027. In short, Marine Le Pen has chosen to run for office, but significant uncertainty remains regarding her legal situation, and this is likely to overshadow the campaign.

Where does the campaign stand?

The presidential campaign remains highly uncertain. The number of potential candidates is still very large, reflecting the continued fragmentation of the French political system. French political history shows that opinion polls remain highly volatile nine months before a presidential election. Being the frontrunner at this stage does not guarantee victory.

Three leading candidates currently stand out on the centre-right and right: Édouard Philippe (Horizons), Gabriel Attal (Renaissance, the former party of Emmanuel Macron), and Bruno Retailleau (Les Républicains, representing the traditional conservative right). On the left, Jean-Luc Mélenchon has already announced his candidacy and remains the most visible figure of the radical left. Raphaël Glucksmann is regularly tested in polls as a social-democratic and pro-European candidate. Marine Tondelier (Greens) and Fabien Roussel (French Communist Party) also feature in various electoral scenarios.

What do the polls say?

The most striking feature of recent polling is the RN's lead. The RN's candidate is generally credited with around 35% of voting intentions, well ahead of centrist candidates (typically between 15% and 20%) and left-wing candidates (around 10% to 15% for both Mélenchon and Glucksmann).

Based on current polling, the RN would therefore dominate the first round of the election. However, without knowing whether some centrist or left-wing candidates will eventually withdraw to avoid splitting the vote, it is difficult to identify the RN's likely opponent in the second round. A run-off between the RN candidate and either Édouard Philippe or Gabriel Attal is often discussed, but a unified left rallying behind Raphaël Glucksmann could also lead to an RN-Glucksmann contest.

In the coming months, two issues deserve close attention: the left's ability to unite behind a single candidate and the competition between Édouard Philippe and Gabriel Attal for leadership of the centrist bloc.

Regardless of who wins the presidential election, it is likely that the new president would dissolve the National Assembly shortly afterwards in an attempt to secure a governing majority, as the current fragmentation of parliament severely limits the scope for reforms. If a stable majority were to emerge following both the presidential and legislative elections, visibility on France's economic policy outlook could improve significantly compared with the current situation. But the risk that a stable majority does not emerge is quite large.

What does the RN's programme look like?

Compared with the RN of 2017, the most significant change is its transformation from a Eurosceptic party advocating a break with the European institutional framework into a party seeking to reshape the European Union from within. Proposals to leave the euro area and hold a referendum on EU membership have disappeared from its programme. Nevertheless, the party remains highly critical of European integration and of what it sees as a loss of national sovereignty.

On public finances, the RN regularly criticises European fiscal constraints, the Stability and Growth Pact, excessive deficit procedures, and austerity policies. Its argument is generally that European rules limit the French state's ability to protect the domestic economy. The party also maintains that France's contribution to the EU budget should be reduced.

At the same time, the RN advocates cuts to production taxes and reductions in VAT. Its position on pensions remains unclear. Marine Le Pen initially defended a retirement age of 62 and even 60 for those with long careers, while Jordan Bardella has recently suggested abandoning the focus on the statutory retirement age and instead considering only the number of years of contributions. At this stage, the RN's discourse is much more detailed regarding spending reallocations than regarding an explicit strategy for stabilising public debt over the long term. It is also considerably less committed to a rapid deficit reduction path than centre-right or traditional conservative parties.

Overall, given the precedent set by Giorgia Meloni's government in Italy and the RN's efforts to appear more business-friendly by dropping references to "Frexit", a potential RN victory is viewed by financial markets as less disruptive than in previous presidential elections. However, the party's programme remains highly vague at this stage, and market perceptions could change as policy proposals become more concrete.

That said, even in the event of an RN victory in the presidential election, it appears unlikely that the party would simultaneously secure an outright majority in the National Assembly. The need to form a coalition government could therefore moderate some of the most controversial elements of its programme.

Public finance challenges will weigh heavily on the campaign

The coming months are likely to be dominated by budgetary discussions, which are expected to be particularly difficult. This morning, the government revised down its 2026 GDP growth forecast to 0.7%, significantly below the 1.0% assumption used when the budget was drafted at the beginning of the year.

As a result, the government's objective of reducing the fiscal deficit to 5% of GDP this year from 5.1% in 2025 has become even more challenging. Expenditure is running higher than expected due to rising interest payments on public debt and continued support measures related to the energy shock, while revenue is underperforming because of weaker economic growth. A EUR 6 billion spending cut for this year is currently being discussed, although no concrete measures have yet been identified.

The 2027 budget is likely to be even more complicated given the presidential election campaign. With no parliamentary majority currently in place, the prospects for agreement across political groups on a restrictive budget during an election campaign appear limited. Last May, the European Commission estimated that, under a no-policy-change scenario, France's fiscal deficit would reach 5.7% of GDP in 2027, pushing public debt to 120.2% of GDP, compared with around 100% at the beginning of 2020.

Charlotte de Montpellier

Rates: Bond markets want to see fiscal improvements, regardless of who brings them

Bond markets have shown a muted reaction to the headlines surrounding Le Pen. One reason is that the RN has an alternative candidate in Jordan Bardella, who currently polls slightly ahead of her. Another is that markets remain primarily focused on France's fiscal trajectory.

Current economic headwinds make it more difficult to bring down the deficit, and political uncertainty also muddies the trajectory for coming years. Spreads of 10y French government bonds over their German peers have already widened back towards the 80bp mark in the past week, although the level overstates the widening somewhat given a maturity mismatch between the current benchmark bonds. Looking at an interpolated 10y spread, we are more or less at the average spread going back to when snap elections were called in June 2024, setting off the more volatile environment for French bonds. As such, we still think that markets are lacking the clarity and confidence for material relief in spreads.

Benjamin Schroeder

FX: EUR/CHF the clearest barometer of renewed political risk

The FX market is not currently looking at the French political and budget story. This follows a recurring script of recent years, where France-specific risk emerges as a key driver for the euro only once the bond market shows real signs of stress. For now, FX investors simply aren't concerned about the recent widening in French spreads.

In the run-up to the April election, we expect elevated scrutiny of RN's fiscal plans. Any headlines suggesting a looser approach to fiscal consolidation could spill over into the euro: we would expect that to become primarily visible in EUR/CHF weakness, as the franc is historically the quintessential hedge to EU risk.

For the moment, our baseline assumption is that – barring a surge in support for Mélenchon – any negative euro impact in coming months will likely prove short-lived as the RN and other parties closer to the centre will be careful not to cause serious OAT volatility during the campaign.

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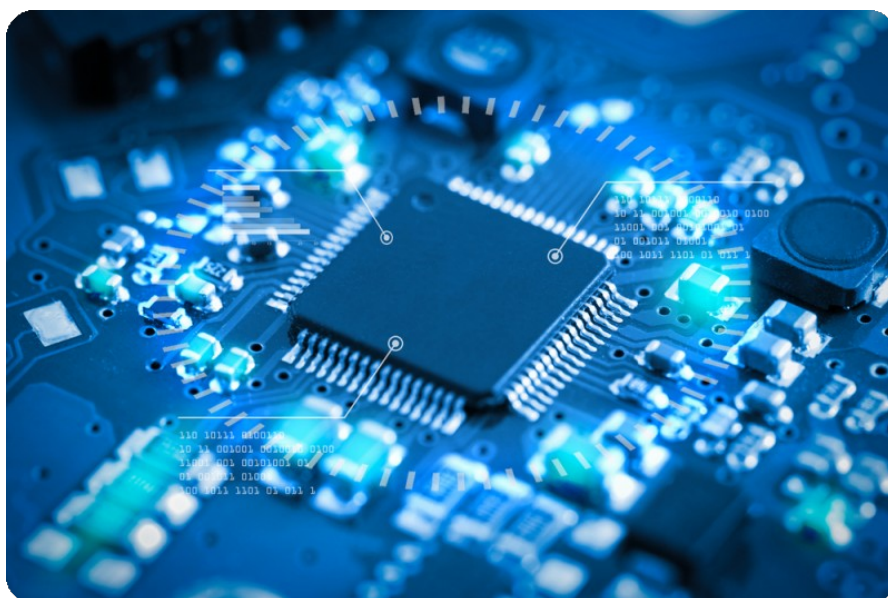
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Article | 7 July 2026

TMT UNITED STATES

Why tech investors are reevaluating AI investments

AI investment remains a positive long-term story for Big Tech, but investors may see slower EPS growth and lower valuation multiples as infrastructure spending increases depreciation costs and reduces share buybacks. We examine the valuation implications for the largest tech firms, and how risks differ for companies from OpenAI to Anthropic



Strong AI demand is clear, but the future returns on today's spending remain uncertain

Future earnings uncertainty may drive equity volatility

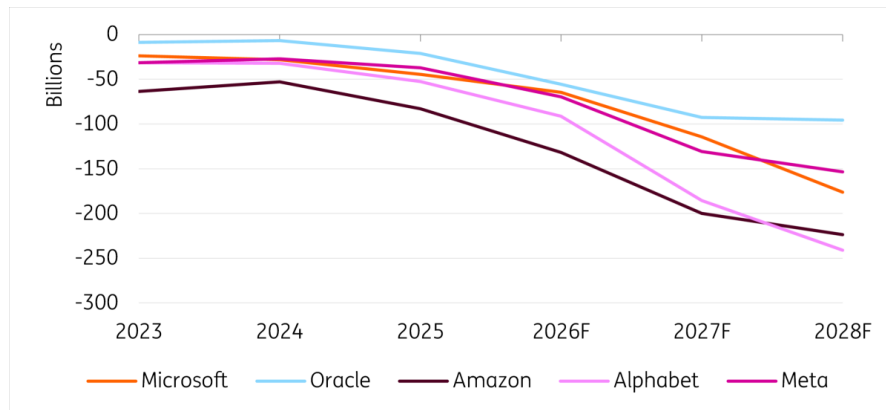
We see a positive future for large technology providers, as the adoption of AI-based services continues to increase. Expected revenues are set to climb, as is EBITDA, [as noted here](#). Yet investors remain nervous. Technology stocks have recently shown large intraday declines. During the first half of 2026, Microsoft's share price declined by 20%, while Oracle fell by 27%. Alphabet, on the other hand, rose by 14%.

In this note, we discuss the factors behind this share price volatility. Although we think the overall technology market can sustain heavy investment in new AI data centre infrastructure, earnings per share growth is likely to slow, influencing equity valuations. Broadly speaking, most credit profiles continue to look fine. Nevertheless, some companies such as OpenAI,

Anthropic and Oracle are investing at a pace that exceeds incoming cash flows.

Current investments are up (US\$)

More negative values indicate higher investment spending



Source: Refinitiv, ING

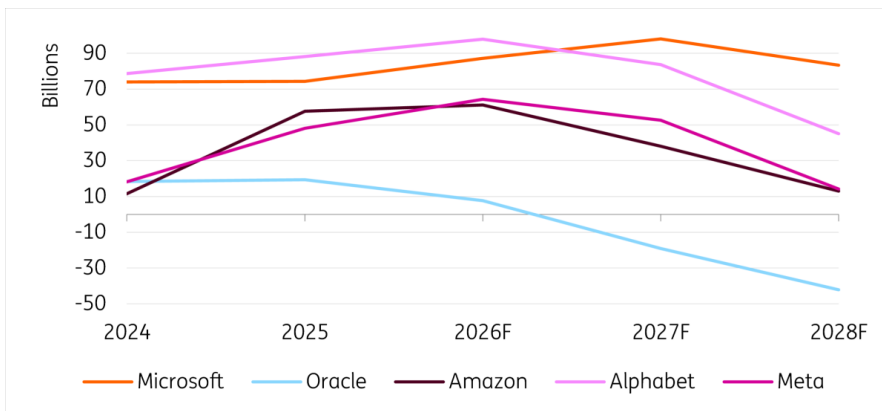
(Fiscal reporting year; Oracle has reported results for 2026)

Not a problem: Investing in building the infrastructure of the future

Despite some occasional doom-mongering by regulators such as the Bank for International Settlements, we think current investments in AI infrastructure are made based on sound economic rationale. For example, Microsoft invested US\$65bn in Cloud and AI infrastructure in F2025, and the company reports annualised run-rate revenues from AI-based services of US\$37bn. This shows there's demand for its investments. Also, technology companies have stated that they cannot deploy AI capacity fast enough to meet customer demand. It means demand for AI computing exceeds supply.

Importantly, most companies can fund these investments through operating cash flow. As a result, industry leaders have little need to take on additional debt, and their balance sheets generally remain strong. The ability to cover investments from existing cash flow can be seen in the chart above (where EBITDA is used as a proxy for operating cash flows). As widely documented, Oracle is a bit of an outlier, with a more aggressive investment programme. This will be discussed below.

EBITDA - Capex (US\$)



Source: Refinitiv, ING

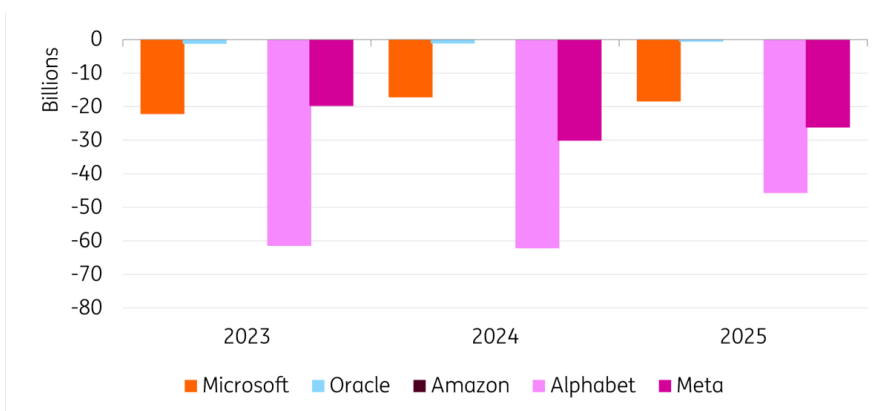
(Fiscal reporting year; Oracle has reported results for 2026)

Investors may wonder when share buybacks will return

As investment spending rises, though, free cash flow (EBITDA less capex) is likely to be lower than in the past, as the benefits to revenue growth may take time to materialise. This reduces the scope for large shareholder returns in the form of share buybacks. As can be seen from the chart below, share buybacks have been material for Microsoft, Alphabet and Meta.

Alphabet has reduced its share count by 9.5% through buybacks from YE20 to YE25. This provided a positive tailwind for its earnings per share (EPS) metric; profits are now divided by fewer shares. Growth in this metric is important when evaluating equity valuations based on EPS. This is because the multiple can fall over time as EPS grows. Although investments can be funded with cash flows, equity investors may need to evaluate future EPS growth and a company's ability to buy back shares.

Share buybacks - historical data (US\$)



Source: Refinitiv, ING

(Fiscal reporting year; Oracle has reported results for 2026)

What to watch when evaluating equity valuations

On a trailing 12-month basis, the Nasdaq trades on a price-to-earnings ratio of around 35x. This is above the 24x level seen at the end of 2022 but below the 40x peak reached in 2021 and 2024. Given expectations for strong earnings growth, however, forward valuations are arguably more relevant. On a two-year forward basis, the Nasdaq trades at around 20x earnings, close to the lower end of its historical range.

Without the support of share buybacks, investors may be less willing to pay 40x earnings multiples in future. The trajectory of EPS growth will depend not only on the revenues generated by AI investments, but also on whether rising costs, including depreciation charges, offset some of those gains.

What if depreciation catches up with capex?

As the first chart shows, investment levels are higher than a few years ago. This matters because these investments must ultimately be depreciated. If revenues from AI-based services take time to materialise, rising depreciation charges could put pressure on operating margins. This risk is particularly relevant for AI infrastructure. Server hardware typically has a shorter replacement cycle than traditional data-centre assets, resulting in higher depreciation rates.

Case in point: Alphabet. Based on consensus estimates, its FY26 capex-to-sales ratio is expected to reach around 44%, while depreciation is projected to be 14% of sales. If depreciation charges rise over time to reflect this higher level of investment, profit margins could come under pressure, creating a headwind for earnings per share. For Microsoft, the equivalent figures are 35% and 14%, while Amazon is expected to post ratios of 24% and 13%, respectively.

During periods of heavy investment, capex typically exceeds depreciation. The AI sector is currently in such a phase. The key questions for investors are whether these investments generate returns above the cost of capital and whether the anticipated revenue growth ultimately materialises.

Company specific sources of uncertainty

As discussed above, we believe most of the uncertainty, and therefore much of the volatility, stems from questions around project returns and fair valuations. However, investors must also contend with several company-specific risks associated with the current AI investment boom. This is particularly the case with Oracle, Nvidia, OpenAI and Anthropic.

How should we look at Oracle's investment objectives?

Oracle has announced ambitious plans to support Project Stargate, a large-scale US AI infrastructure programme. However, its internal cash generation is lower than that of

Microsoft and Alphabet. As a result, Oracle's projected EBITDA less capex is expected to turn negative (based on Refinitiv's consensus forecast), despite the company already operating with relatively low investment-grade credit ratings. While Oracle's balance sheet remains sound, its access to funding is more constrained than larger peers. To preserve its investment-grade rating, the company may ultimately need to raise additional equity capital. So, volatility in Oracle's share price is driven by factors different from those affecting most large technology companies.

Can Nvidia maintain its profit margins?

Nvidia's operating margin could exceed 60% in FY26, according to consensus estimates. This makes sense, as it designs state-of-the-art semiconductors that are in high demand. However, major customers such as Microsoft, Alphabet and Amazon are developing their own custom chips to help manage AI infrastructure costs (capex efficiency). As these capabilities are expanded, Nvidia's pricing power may face greater competition than it has in recent years. This could make today's exceptionally high margins harder to sustain over the long term, even as the company expands into new business lines.

How to view companies developing Gen AI models

Companies such as OpenAI and Anthropic are developing state-of-the-art models for generative AI. They're investing huge sums to become leaders in the field and to develop models specific to customer workflows. OpenAI appears willing to tolerate significant cash burn to establish a dominant position, much as Netflix did in streaming and Amazon did in e-commerce and cloud computing. Yet the long-term economics of AI remain less proven than those earlier industries at similar stages of their development.

AI's long-term value remains uncertain

When evaluating the developments in the market, we don't see evidence of unsustainable investment. How, then, should we explain the volatility in share prices and the steady stream of news articles highlighting concerned investors and regulators? In our view, the market is undergoing a process of price discovery, assessing how to value the future returns from AI-related investments. Key sources of uncertainty include the revenue contribution of AI infrastructure spending, the associated profit margins, and the possibility of slower EPS growth.

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Article | 29 June 2026

The economic toll of Europe's record-breaking heatwave

Thermometers, it turns out, have become a leading indicator of economic growth



Heatwaves pose a new downside risk to European growth

Deserted streets and parks, closed schools and cancelled public events. The recent heatwave in Europe brought back memories of the pandemic lockdowns. This time, however, it wasn't a virus but record-breaking temperatures driving the disruption. European countries, including France, the UK, Switzerland and Germany, experienced their hottest days on record for June.

In France, record temperatures brought back horrible memories of the summer of 2003 when some 70,000 people, most of them elderly citizens, died from the extreme heat. What once seemed like a rare exception, even to those sceptical of climate change, is now becoming increasingly common. And as global warming intensifies, today's extremes risk becoming tomorrow's norms, with Europe in the midst of it.

Yet despite repeated warnings and growing awareness, heatwaves still bring large parts of the continent to its knees. A bit like heavy snow does in the winter. Several hospitals declared critical incidents due to the extreme heat, with cooling units breaking down and IT systems stalling, while schools, workplaces and railways were thrown into chaos, and wildfires broke out. People have drowned while trying to cool down, and in France, two nuclear reactors were

forced to close due to a lack of cooling water.

While the record high temperatures during the day and overnight are clearly harmful for human health, they will also leave their mark on the European economy.

Gauging the economic impact of heatwaves

For years, heatwaves were treated the way insurers treat hailstorms: a regrettable but temporary cost, smoothed out over the cycle. That framing is becoming outdated. A [2021 study](#) of Europe's worst heat years (2003, 2010, 2015 and 2018) put continent-wide GDP losses from reduced labour productivity alone at 0.3-0.5% (output, not GDP growth), exceeding 1% in the most exposed regions. Other studies add the costs of cooling and consequently calculate an even larger impact on growth. Add rising healthcare costs, emergency infrastructure repairs and the impact of heatwaves and drought on waterways, transportation or agriculture, and the negative impact on the economy grows further still.

Last year, [a joint paper](#) from the University of Mannheim and the ECB also put a number on the economic damage, analysing the heatwaves, droughts and floods of the summer of 2025. According to the paper, the European economy lost some 0.3% of output. This damage could grow to an accumulated 0.8% by 2029, taking into account the effects of lost productivity, supply chain disruption and depressed tourism revenue.

Previously, the ECB had also estimated that heatwaves and drought could push up food inflation by some 0.4-0.9pp, with that effect potentially doubling over the next 30 years.

In the past, it was tempting for northern Europeans to file heat risk under "somebody else's problem": Madrid's not Munich's. However, the data no longer supports this theory. To the contrary, Germany ranks third among Europe's largest economies for cumulative heat losses up to 2030. Not because German summers will rival Seville's, but because infrastructure, housing stock and labour-intensive sectors like construction and logistics were built for a cooler climate and haven't caught up.

A January 2026 [Climate Analytics assessment](#) commissioned for the World Bank concluded, pointedly, that Germany still lacks comprehensive solutions to manage heat-stress risk, with adaptation planning lagging well behind the science. This conclusion is also confirmed when looking at an increasingly important time series from the European Commission's business survey: weather as a limiting factor to production. It actually shows that over the last few summers, Spain and Germany experienced the most disruptive effects of summer heatwaves.

Heatwaves pose a new downside risk to European growth

Looking ahead, while the recent drop in energy prices should bring some relief to European households and companies, the current heatwaves bring a new downside risk for the European economy: potential supply chain frictions due to low water levels in main rivers and affected

infrastructure like railways and highways, but also productivity losses.

In fact, the uncomfortable truth is that heatwaves have quietly graduated from "weather event" to "macro variable". The thermometer, it turns out, has become a leading indicator.

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Article | 16 July 2026

FX

FX Daily: The big GBP short unwinding continues

The dollar stayed under pressure as PPI confirmed that inflation pressure eased in June. Still, with the Gulf situation apparently far from de-escalation, we don't see much more USD downside potential in the near term. Instead, sterling is emerging as a major outperformer on the back of further positioning adjustments



News that Shabana Mahmood could become Andy Burnham's chancellor has boosted the pound

📈 USD: Losing more ground

The dollar has remained under pressure, with FX volatility resuming its decline after a short-lived bounce earlier this week. Brent settling at around \$85/bl is seemingly not enough to drive inflation expectations much higher, and the USD front-end continues to feel some gravitational pull from soft June CPI data. PPI was also rather muted yesterday: -0.3% MoM for headline, 0.2% MoM for core.

At the same time, the two-day testimony by Fed Chair Kevin Warsh and a speech by Chris Waller are warning markets against reading too much into one single inflation print. According to Waller, the disinflationary trend must be visible over a few months to call off hikes. Hardly a guarantee now that oil prices have risen again.

All in all, markets may remain content with one Fed hike priced in this year. As some other central bank pricing catches up on the upside, the dollar might still be inching lower in most crosses.

US retail sales for June are published today, and are expected to grow at 0.2% MoM after four very strong months. The Fed's Logan and Schmid (both hawks) are scheduled to speak.

Francesco Pesole

↓ **EUR: Rally should lose steam**

We aren't convinced this EUR/USD rally has much further to run, barring clear signs of a de-escalation in the Middle East. The rise in gas prices (more impactful for the eurozone's terms of trade than crude) should prevent the euro from building any idiosyncratic narrative at this point.

We expect EUR/USD sellers to emerge around the 1.1500 area, and see a greater chance of rangebound stabilisation at this stage rather than a break higher. The eurozone calendar is empty today, with the ECB entering its pre-meeting quiet period.

Francesco Pesole

↑ **GBP: Shorts on the run**

The sterling short squeeze continues. The catalyst for EUR/GBP to break below 0.8500 yesterday was reports that Shabana Mahmood would be Andy Burnham's pick for chancellor when he likely comes to power next week. Mahmood is seen to the right of the Labour Party and a less divisive – and potentially less fiscally expansive – candidate for chancellor than Ed Miliband. 10-year UK gilts outperformed German Bunds by around 5bp yesterday.

The strength of the sterling rally looks more a function of position adjustment rather than a massive re-assessment of the prospects for UK PLC, however. Positioning data from US futures exchanges had recently shown speculators running the shortest sterling positions since 2017. It may be difficult to stand in the way of the sterling rally in the short term, where a sustained break of 0.8470 opens up 0.8400 for EUR/GBP, while GBP/USD could make a run at 1.3600/3650. And next week looks a big one for UK inputs, with Burnham taking the reins and both CPI and jobs data released.

Yet when position-adjustment activity fades and investors return to the UK macro/Bank of England story, EUR/GBP should be able to retest the recent break-out area around 0.8600/8610. That may be a story for much later this month.

Chris Turner

CEE: Stabilisation should bring buyers back to region

The CEE region remains in the grip of global events, with a dovish shift in Fed pricing on one hand and still elevated oil prices on the other. We may see some relief in the region for the second day in a row, but the risks are not changing much for now. However, the worst of the US-Iran escalation now appears to be behind us, barring any fresh developments. This could attract more interest in CEE FX in the event of another day of stability and take advantage of cheaper levels, especially in the Hungarian forint, which remains at the upper edge of our 350-360 EUR/HUF range.

Today's data in the region has little chance of changing anything with the dominant global story. In Hungary, wages for May will be published, which remain elevated and the highest within the CEE region, and at the same time, one of the few upside risks for the inflation profile. In Poland, core inflation will be published for June. Yesterday's final figures confirmed headline inflation at 2.5%. Core, according to our estimates, fell from 3.1% in May to 3.0%.

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THINK economic and financial analysis

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Article | 16 July 2026

RATES

ECB preview: Not yet ready for the beach break

While we expect the European Central Bank to stay on hold next week, a surprise hike should not entirely be ruled out



Christine Lagarde, President of the ECB, which is likely to keep rates unchanged next week, but we don't rule out a surprise rate hike

Just weeks ago, the 23 July ECB meeting looked like a formality — the last stop before summer break, the one meeting no one would have missed had it been cancelled at the last minute. However, the new escalation in the Middle East and the renewed rise in energy prices have changed the picture once again. Instead of gradually transitioning into summer vacation mode and postponing any rate decision until after the summer, some ECB officials might actually be inclined to push more forcefully for another rate hike.

Oil prices on a roller-coaster ride

Since the 11 June meeting, and the decision to hike rates by 25bp to 2.25%, the external environment, including energy prices, has been on a roller-coaster ride. The late-June ECB conference in Sintra confirmed the macro backdrop of the central bank's base-case scenario and highlighted policymakers' determination to continue hiking rates. But the subsequent drop in energy prices to below pre-war levels likely removed doubts about a rate hike. Now, with the renewed tensions in the Middle East and energy prices rising again, these doubts will have

disappeared again. Instead, a week before the next ECB meeting, the macro backdrop looks very similar to the one in early June.

What does this mean for next week's meeting?

Remember that next week's meeting will not come with new macro projections. Still, expect the ECB to have at least run an internal update of where the June projections currently stand, taking the latest oil price developments into account. With current energy prices, we are right back at the ECB's base case scenario from June. This is a scenario that was built on market assumptions: a total of at least two rate hikes, headline inflation gradually coming down over the course of 2027, and core inflation remaining slightly above 2% for the entire forecast horizon.

Surprisingly slow inflation data in June and very little sign of indirect or even second-round effects should have taken away the urge to hike policy rates further. Still, the ECB's base case scenario will be a clear argument in favour of yet another rate hike. And not only in the base case scenario. The entire discussion about the 'insurance rate hike' actually also favours a second hike. Why? Well, if the ECB sticks to a 'one and done' hike, it could eventually be seen as a 'panic hike', inviting criticism that the ECB jumped the gun. A second rate hike could, of course, worsen a policy mistake. But, following the ECB's own logic, it would strengthen the narrative that such a hike is required to reach the base-case inflation scenario. Remember that monetary policy is not only a science but also an art, and, to an increasing degree, communication and psychology.

Until early last week, we would have argued that lower energy prices took the rate hike option entirely off the table for the ECB's July meeting. But some members might feel tempted to use the latest resurgence in energy prices as a reason to get things done as quickly as possible, potentially even as soon as next week. While the ECB doesn't have a recent track record of surprising markets, hiking rates next week would simply get the job done. Also, at least for the hawks, there remains a risk that any relief in oil markets ahead of the September meeting could mechanically lower inflation forecasts, removing the justification for a second rate hike.

All in all, there remains a small chance that the ECB will hike next week. The more realistic scenario, however, is a hike at the September meeting. In any case, instead of a summer lull, next week's meeting promises one last clash between the hawks and doves before anyone reaches for the sunscreen. The towels may already be laid out, but for the ECB, the beach break will have to wait.

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Article | 16 July 2026

COMMODITIES DAILY

The Commodities Feed: Renewed US-Iran tensions unnerve oil market

Oil prices continue to move higher, with neither the US nor Iran showing any real intent to dial down the latest surge in tensions



Energy - Physical oil market sees renewed strength

Oil prices managed to eke out a third day of gains amid few signs of de-escalation between the US and Iran. The US carried out additional strikes against Iran. There are also media reports that the US is considering increasing military operations. Iran, meanwhile, said it has no plans to talk. The rapid deterioration is having a meaningful impact on vessel flows from the Persian Gulf. Tanker traffic through the Strait of Hormuz remains depressed, with crossings still under clear pressure. Even so, US officials claim more than 100 vessels managed to get through the strait over the last week with US military support.

The concern is that renewed oil supply disruptions come amid the large inventory drawdowns through the second quarter, leaving the market more vulnerable. In addition, global SPR releases, which have helped the market out over recent months, are set to end in the next few weeks.

The reduction in Persian Gulf energy flows is having an obvious impact on the physical market.

Dated Brent vs. front-line Brent futures (DFL) is back at a premium of \$1.30/bbl, having traded at a discount to the futures through late June and early July. Meanwhile, in the US, Mars crude differentials have rallied. Buyers are once again seeking alternative supplies amid renewed disruptions in the Persian Gulf.

According to the EIA, US commercial crude oil inventories fell by 1.69m barrels over the last week. When taking SPR releases into consideration, total crude oil inventories fell by 4.68m barrels. US commercial crude oil inventories remain near the lowest levels since 2022, while seasonally they are at their lowest level since 2018. Gasoline stocks continue to fall through the summer, with inventories declining by 1.53m barrels. There was a bit more relief for the distillate market, with inventories growing by 4.56m barrels, on the back of weaker demand. However, middle distillate markets, both in the US and globally, remain very tight. This is well reflected in the strength in middle distillate cracks.

Investment funds boosted their net long in TTF natural gas by 26.7TWh over the last reporting week to 181.9TWh. The move is dominated by fresh longs entering the market. The LNG and European gas markets remain vulnerable amid the flare-up in hostilities between the US and Iran. There's increased competition between Europe and Asia for spot LNG cargoes. Recent heatwaves across parts of Europe and Asia only add to concerns. LNG supply disruptions and stronger power generation demand make the job of refilling storage ahead of the heating season increasingly more difficult. EU gas storage is just 53% full vs a 5-year average of 68%, and some distance from the EU's minimum target ahead of 75% going into the heating season.

Metals – Gold up as softer inflation eases Fed concerns

Gold rose for a second straight session as softer-than-expected US producer price data weighed on the dollar and Treasury yields. Lower energy costs helped ease inflation pressures, reducing expectations of near-term Federal Reserve tightening. Markets now price only a 12% chance of a July rate hike, down from almost 31% a week ago. Lower rate expectations are supportive for gold. But we believe upside could remain limited in the near term if Middle East tensions continue to support energy prices and keep inflation risks elevated.

In base metals, LME lead inventories jumped by a further 86.5kt for a second consecutive session. They reached a record 456.7kt, with most of the inflows reported into Singapore warehouses. On-warrant stocks also climbed to a record high, while cancelled warrants fell for a second day. The sharp inventory build extended pressure on lead prices, with three-month LME lead declining for a third consecutive session. Rising exchange stocks point to a well-supplied market and suggest lead could remain under pressure in the near term.

Latest data from the International Lead and Zinc Study Group (ILZSG) shows the global lead market recorded a surplus of 19kt in the first five months of 2026, up from 16kt a year earlier. For zinc, the surplus widened to 163kt from 44kt over the same period last year.

Agriculture – Wheat climbs amid Black Sea tensions

CBOT wheat prices rallied significantly yesterday, with the market settling more than 7.3% higher. This strength comes amid escalating tensions between Ukraine and Russia, raising concerns over potential disruptions to Black Sea shipping and grain exports. Ukraine reported strikes on several Russian vessels in the Black Sea and said it has targeted more than 100 Russia-linked ships in the Sea of Azov in recent days, heightening risks along key trade routes through the Kerch Strait.

Meanwhile, preliminary estimates from the French Agriculture Ministry indicate that wheat production could decline to 32mt in 2026, down 4% year-on-year and below the historical average. The reduction is largely attributed to lower yields, which are forecast to fall 7% year-on-year to 6.9t/hectare following successive heatwaves. Weaker output from one of the EU's largest wheat producers could further tighten global supplies and lend additional support to prices.

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Article | 15 July 2026

RATES SPARK

Rates Spark: EUR rates cannot follow a dovish US

Euro rate dynamics remain separated from the US, which is looking more at domestic factors, while oil and gas are primarily driving ECB pricing. Eurozone inflation may take longer to turn, so while both 2y USD and EUR rates look bullish, the US leg could come down first



The rise in Brent oil prices resulted in the 2y euro swap rate approaching 3%, the highest level since the start of the Middle East conflict

Euro rates will need more time to follow a dovish US

Euro rates continue to do their own thing and especially the front end seems relatively isolated from US dynamics. The sharp dovish move in US rates on the back of benign inflation numbers was barely noticeable for the 2y euro swap rate. Oil is clearly the main driver and therefore Brent reaching as high as US\$87 per barrel is a more important variable to watch. At these prices, the 2y swap rate almost hit 3%, which marks the highest level since the start of the conflict.

Also, the eurozone inflation data will be pivotal in challenging the hawkish market positioning, but we may have to be patient. July's figures are still weeks away and even then, those numbers will not be enough to comfort markets about second-round risks. Especially with oil prices surging again, the full pass-through of higher energy prices will remain difficult to estimate. An added complexity is the rise in natural gas prices, which are now at the highest levels since March. Meanwhile, European gas reserves still seem relatively low and will have to

be filled before winter starts approaching.

All this uncertainty means markets' European Central Bank pricing can continue to diverge from the Fed's. The momentum in US inflation should be downwards, whereas for Europe the peak might not be in sight yet, especially if energy prices continue to drift higher again. So, while we are bullish on both 2y USD and EUR rates, the US leg might find itself coming down earlier.

Wednesday's events and market view

While Europe looks to geopolitics and energy prices, the US looks more towards domestic drivers. Following a cooler-than-anticipated CPI release, markets will now watch the producer prices for June as well as the second day of Fed Chair Warsh's testimony to Congress. Other Fed speakers of the day include Williams, Cook and Musalem. The Fed will also release its Beige Book.

The eurozone releases industrial production data for May. From the ECB, Panetta and Nagel will be speaking.

In primary markets, Germany taps three bonds in the 30y area for a total of €3bn.

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